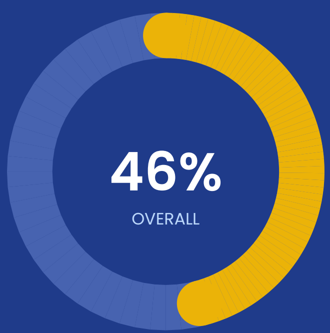
CAPITAL READINESS ASSESSMENT

Loco Financial Technologies

An independent evaluation of investment readiness across commercial, financial, operational and legal domains — with a structured 18-month improvement roadmap.



OVERALL READINESS SCORE

Below the 70% investment-readiness threshold

Not yet investment ready

Prepared on 9 July 2026 · Dar es Salaam, Tanzania

Confidential · CRAT Framework

01 Executive Summary

An investment-committee assessment of Loco Financial Technologies's readiness to absorb and deploy external capital.

INVESTMENT-READINESS VERDICT

Loco Financial Technologies is best matched to grant and milestone-based catalytic funding with technical assistance; it is not yet ready for commercial debt or equity.

Loco Financial Technologies recorded an overall Capital Readiness Score of 46% (Progressing). This report expands the summary assessment into a due-diligence-grade review across company, business model, market, financial, operational, legal and regulatory dimensions. For every finding it states the evidence reviewed, the missing evidence, the risk level and the recommended corrective action.

Funding-instrument suitability

INSTRUMENT	SUITABILITY	RATIONALE
Grant funding	Recommended	Suits early-stage capacity building and de-risking; least sensitive to the current gaps.
Milestone-based catalytic	Recommended	Tranches released against verified readiness milestones; aligns directly with the improvement roadmap.
Debt	Not yet	Requires reliable cash-flow, financial controls and clean legal standing before drawdown.
Equity	Not yet	Requires investor-grade financials, governance and a clean legal / IP position for due diligence.

INFORMATION REQUIRED FROM COMPANY

Financial, traction, cap-table and market figures are marked “information required from company” wherever primary evidence was not provided. Supplying the items in the Investor Data Room Checklist (Section 19) converts these into verified findings.

02 Company Profile

Who Loco Financial Technologies is, and the context of this capital readiness assessment.

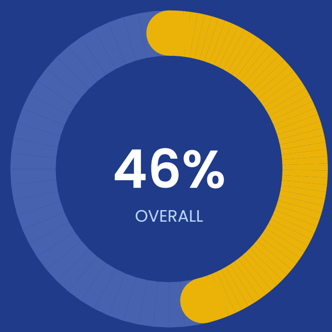
COMPANY OVERVIEW

Loco Financial Technologies is a Financial Technology company operating in Tanzania. This report evaluates its readiness to raise external capital across four domains — commercial, financial, operational, and legal & compliance — using the Capital Readiness Assessment (CRAT) framework, and sets out the roadmap required to reach investment readiness.

AT A GLANCE

SECTOR **Financial Technology**	HEADQUARTERS **Tanzania**
ASSESSMENT **Capital Readiness**	ASSESSMENT DATE **9 July 2026**
FOCUS **Investment Readiness**	READINESS THRESHOLD **70%**

ASSESSMENT SNAPSHOT



Maturity	**Progressing**
Status	**Not ready**

03 Business Model & Use of Funds

How the business creates and captures value, and how any capital raised will be deployed.

Business model

Loco Financial Technologies operates in the Financial Technology sector in Tanzania. A complete business-model view requires the elements below; specifics not evidenced in the assessment are marked as required from the company.

SECTOR
Financial Technology

HEADQUARTERS
Tanzania

REVENUE MODEL
Information required from company

PRIMARY CUSTOMER SEGMENTS
Information required from company

DISTRIBUTION CHANNELS
Information required from company

KEY PARTNERSHIPS
Information required from company

MONETISATION / TAKE RATE
Information required from company

COST STRUCTURE
Information required from company

Use of funds

The intended use of any capital raised must be documented and tied to milestones. The allocation below is to be completed by the company and will be verified against the improvement roadmap (Section 17).

CATEGORY	ALLOCATION	INTENDED OUTPUT / MILESTONE
Product & technology	Information required	Information required from company
Regulatory & licensing	Information required	Information required from company
Team & capacity building	Information required	Information required from company
Working capital	Information required	Information required from company
Market expansion	Information required	Information required from company

04 Assessment Methodology & Scoring

How the Capital Readiness Assessment (CRAT) is conducted, scored and weighted.

Methodology

The assessment combines a structured entrepreneur self-assessment with independent reviewer scoring. Each question is scored on a 0–5 scale; where multiple reviewers score a question, the reviewer scores are averaged. Question scores are aggregated to domain scores and normalised to percentages. A 70% overall score is treated as the investment-readiness threshold. Findings are triangulated against supporting evidence; where evidence was not provided, the finding is flagged as requiring company information rather than assumed.

Scoring rubric

SCORE BAND	RATING	WHAT IT MEANS
0.0 – 1.5	Basic	Foundational capability largely absent; ad-hoc and undocumented.
1.6 – 2.5	Developing	Some elements in place but informal and inconsistent.
2.6 – 3.5	Progressing	Functioning but not yet investor-grade; material gaps remain.
3.6 – 4.5	Advanced	Documented, consistent and largely investor-ready.
4.6 – 5.0	Leading	Best-practice, independently verified and fully investor-ready.

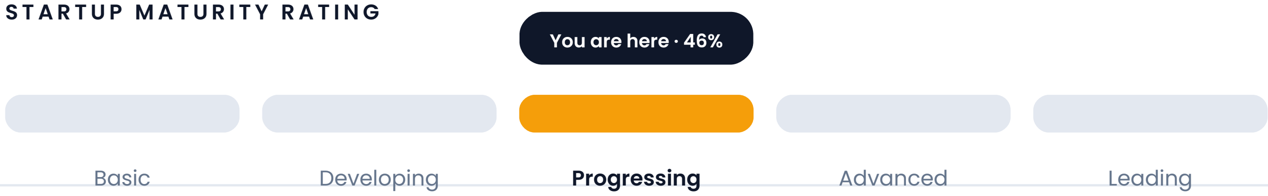
Domain weights

DOMAIN	WEIGHT	BASIS
Commercial / Market	25%	Equal weighting applied in this computation; configurable per programme.
Financial Management	25%	Equal weighting applied in this computation; configurable per programme.
Operations	25%	Equal weighting applied in this computation; configurable per programme.
Legal & Compliance	25%	Equal weighting applied in this computation; configurable per programme.

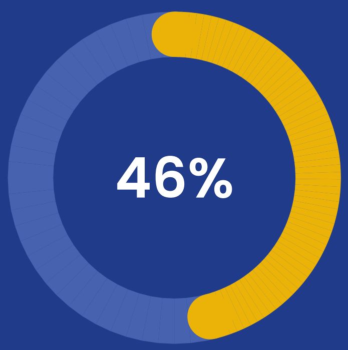
05 Overall Findings

Loco Financial Technologies sits at the "Progressing" maturity level with an overall readiness of 46% — below the 70% investment-readiness threshold.

STARTUP MATURITY RATING



READINESS LEVEL



Not Ready

READINESS BY DOMAIN

70%

READINESS LEVEL

Loco Financial Technologies achieved an overall Capital Readiness Score of 46%, placing it at the "Progressing" maturity level. Commercial and Financial are investment-grade. Operations and Legal carry the highest-risk capability gaps. Overall the business is not yet investment-ready; the sections that follow detail the thematic gaps, domain findings and recommended interventions.

06 Key Thematic Gaps

The defining capability gap in each domain, with a tailored read on what it means for investment readiness.

Commercial / Market

72% ON TRACK

Revenue is being generated, but the commercial engine still runs on informal, undocumented routines. There is no defined sales pipeline, market positioning is held tacitly rather than written down, and acquisition and retention are not measured. For investors this translates directly into uncertainty about how repeatable and predictable future revenue really is.

Financial Management

80% ON TRACK

Core financial management is operating, but reporting and forecasting fall short of the standard investors expect during due diligence. Cash-flow is not modelled forward, records are not yet investor-grade, and management reporting lacks a regular cadence — all of which limit confidence in the numbers.

Operations

13% HIGH RISK

Operational delivery works at the current scale, but it depends on undocumented, person-dependent routines. Processes live in people's heads, key functions rest on individuals, and performance is not tracked against targets — which caps resilience and makes scaling risky.

Legal & Compliance

17% HIGH RISK

Foundational legal structures are in place, but governance, contracts and compliance records are incomplete. Licences and agreements are not consolidated, compliance gaps remain open, and intellectual property and oversight are not fully established — the issues most likely to stall or derail investor due diligence.

07 Detailed Findings

Domain-by-domain observations recorded during the assessment.

Commercial / Market

72%

Commercial capability was assessed across the sales process, market positioning, and customer acquisition and retention.

- The sales process and revenue pipeline operate without documented stages, ownership or conversion tracking, which makes forecasting unreliable.
- Market positioning and competitor intelligence are understood by the founder but are not documented or shared across the team.
- Customer acquisition and retention run without measurable targets, so channel performance and churn cannot be actively managed.

Financial Management

80%

Financial capability was assessed across record quality, management reporting, cash-flow forecasting and controls.

- Cash-flow is not formalised into a rolling forward-looking model, leaving liquidity risk unmanaged as the business scales.
- Financial records are maintained but are not yet investor-grade and have not been independently reviewed.
- Accounting systems and management reporting lack the controls and monthly cadence investors expect.

Operations

13%

Operational capability was assessed across process documentation, key-person dependency and performance management.

- Core operating processes and standard procedures are not documented, so quality depends on specific individuals.
- There is significant key-person dependency across critical functions, creating business-continuity risk.
- Performance is not consistently tracked against defined KPIs, which limits operational visibility.

07 Detailed Findings (continued)

Legal & Compliance

17%

Legal capability was assessed across registration, contracts, regulatory compliance, intellectual property and governance.

- Licences, permits, contracts and governance records require review and consolidation into a single verifiable set.
- Compliance gaps remain open that could delay or complicate investor due diligence.
- Intellectual property is unregistered and formal oversight and decision-rights structures are not established.

08 Evidence Reviewed & Evidence Gaps

What was available to the assessment in each domain, and what must still be provided to verify the findings.

Commercial / Market — assessed at 72% (on track).

LOW RISK

EVIDENCE REVIEWED CRAT self-assessment responses on sales, market and customers; reviewer scoring.

MISSING EVIDENCE Sales-pipeline export, pricing sheet, top-customer contracts, marketing plan, churn / retention data.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the commercial score cannot be confirmed for due diligence.

Financial Management — assessed at 80% (on track).

LOW RISK

EVIDENCE REVIEWED CRAT self-assessment responses on financial management; reviewer scoring.

MISSING EVIDENCE 12-month management accounts, cash-flow model, bank statements, revenue ledger, accounting-system access.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the financial score cannot be confirmed for due diligence.

Operations — assessed at 13% (gap identified).

HIGH RISK

EVIDENCE REVIEWED CRAT self-assessment responses on operations; reviewer scoring.

MISSING EVIDENCE Process / SOP documentation, organisation chart, KPI dashboard, key-person and succession plan.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the operations score cannot be confirmed for due diligence.

Legal & Compliance — assessed at 17% (gap identified).

HIGH RISK

EVIDENCE REVIEWED CRAT self-assessment responses on legal & compliance; reviewer scoring.

MISSING EVIDENCE Certificate of incorporation, licences / permits, key contracts, IP registrations, board and governance records.

RECOMMENDED ACTION Provide the missing evidence for independent verification; without it the legal score cannot be confirmed for due diligence.

09 Risk Register

Consolidated risks ranked by likelihood and impact, with mitigations mapped to the roadmap.

RISK	CATEGORY	LIKELIHOOD	IMPACT	LEVEL	MITIGATION
Regulatory / licensing non-compliance	Legal	High	High	High	Complete BOT / e-money licensing pathway; close compliance gaps (Section 10).
Weak financial controls & reporting	Financial	Low	High	Low	Implement accounting software, monthly accounts and rolling cash-flow forecast.
Key-person dependency	Operations	High	High	High	Document SOPs; delegate and cross-train; formalise succession plan.
AML / KYC deficiencies	Compliance	High	High	High	Adopt AML/CFT programme, CDD/KYC policy and FIU reporting procedures.
Data-protection / cybersecurity exposure	Technology	Medium	High	High	Register under PDPA; implement access control, backups, DR and incident response.
Revenue concentration / predictability	Commercial	Medium	Medium	Low	Document pipeline; diversify customers; track retention and churn.
Cash runway	Financial	Medium	High	Medium	Maintain 6–12 month runway; scenario-plan against milestone tranches.

10 Regulatory & Compliance Matrix — Tanzania

Fintech regulatory obligations across BOT authorisation, AML/KYC, data protection and cybersecurity. Status must be evidenced by the company.

The matrix summarises the principal obligations for a Tanzanian financial-technology business. Each status is marked as requiring company evidence; the recommended action states how to close the gap and what documentation to supply to the data room.

AREA	REQUIREMENT	REGULATOR	STATUS	RECOMMENDED ACTION
Corporate	Company registration & annual returns	BRELA	Information required	Provide certificate of incorporation and current returns.
Tax	TIN, VAT and tax filings	TRA	Information required	Provide TIN, VAT status and latest filings.
Payments	Payment-system / e-money authorisation (NPS Act 2015)	Bank of Tanzania	Information required	Confirm licence held or map the application pathway.
AML/CFT	AML programme, CDD/KYC policy, FIU reporting	FIU / BOT	Information required	Adopt AML/CFT programme and CDD/KYC policy; register FIU reporting.
Data protection	Registration & controls (PDPA 2022)	PDPC	Information required	Register as data collector/processor; document data-protection controls.
Consumer	Fair disclosure, pricing transparency, complaints	BOT / FCC	Information required	Publish terms, pricing and a complaints-handling procedure.
Cybersecurity	Security controls & incident reporting (Cybercrimes Act 2015)	TCRA / TZ-CERT	Information required	Implement security policy, logging and incident-response reporting.
Telecom	USSD / channel approvals (if applicable)	TCRA	Information required	Confirm channel approvals for any USSD / telecom integration.

11 Financial Deep Dive & Unit Economics

The financial and unit-economics metrics required for a debt or equity decision.

The metrics below are the minimum set required to underwrite this business. Values were not evidenced in the assessment and are marked as required; the "why it matters" column states how each figure informs the funding decision.

METRIC	VALUE	WHY IT MATTERS
Revenue (trailing 12 months)	Information required	Establishes scale and commercial traction.
Recurring revenue (MRR / ARR)	Information required	Indicates predictability of income.
Gross margin	Information required	Shows structural profitability of the core product.
Contribution margin	Information required	Profitability after variable / delivery costs.
Monthly burn rate	Information required	Rate of cash consumption.
Cash runway (months)	Information required	Time to zero cash at current burn.
Customer acquisition cost (CAC)	Information required	Efficiency of growth spend.
Lifetime value (LTV)	Information required	Value generated per customer.
LTV : CAC ratio	Information required	Sustainability of the growth model (≥3x preferred).
CAC payback (months)	Information required	Speed of recovering acquisition cost.
Portfolio at risk / NPL (if lending)	Information required	Credit quality for lending fintechs.
Cash balance	Information required	Current liquidity position.

12 Traction, Customer Metrics & Market

Demand evidence, customer economics and market sizing required to size the opportunity.

Traction & customer metrics

METRIC	VALUE	EVIDENCE TO PROVIDE
Registered users / accounts	Information required	System export or dashboard screenshot.
Active users (MAU)	Information required	Analytics export for the last 6–12 months.
Month-on-month growth	Information required	Time-series of users / revenue.
Retention (M1 / M3)	Information required	Cohort retention analysis.
Churn rate	Information required	Cohort churn analysis.
Transaction volume & value (GMV)	Information required	Transaction ledger summary.
Repeat / reactivation rate	Information required	Cohort behaviour analysis.

Market sizing

MEASURE	VALUE	BASIS TO PROVIDE
TAM (total addressable market)	Information required	Top-down market data with sources.
SAM (serviceable available market)	Information required	Segment the company can serve.
SOM (serviceable obtainable market)	Information required	Realistic 3–5 year capture.

13 Competitor Positioning

The competitive landscape and where the company differentiates.

A credible positioning analysis must identify direct and indirect competitors and articulate the company's differentiation and defensibility. The company should complete the table below; guidance on what to capture follows.

COMPETITOR	TYPE	POSITIONING VS. COMPANY
Information required	Direct	Information required from company
Information required	Direct	Information required from company
Information required	Indirect	Information required from company
Information required	Substitute	Information required from company

- Differentiation: what the company does materially better or cheaper.
- Defensibility / moat: network effects, licences, data, switching costs.
- Pricing position relative to alternatives.
- Barriers to entry the company benefits from or must overcome.

14 Governance, Cap Table & Intellectual Property

Ownership, control and the protection of key assets.

Governance review

Board and governance structures are not yet evidenced as formalised.

HIGH RISK

EVIDENCE REVIEWED CRAT responses on leadership and governance.

MISSING EVIDENCE Board charter, board minutes, delegation of authority, committee terms of reference.

RECOMMENDED ACTION Formalise a board with clear decision rights, regular minuted meetings and basic committees.

Capitalisation table

SHAREHOLDER	CLASS	HOLDING	NOTES
Founders	Ordinary	Information required	Provide shareholders' agreement & register.
Team / ESOP	Options	Information required	Confirm option pool size and vesting.
Investors	Preference / SAFE	Information required	Provide instruments and terms.
Others	—	Information required	Include any convertibles or grants.

Intellectual property

ASSET	STATUS	OWNER	RECOMMENDED ACTION
Company / brand trademark	Information required	Information required	Register trademark with BRELA / relevant registry.
Domain names	Information required	Information required	Confirm domains are owned by the company.
Source code / software IP	Information required	Information required	Ensure IP assignment from founders & contractors.
Patents / trade secrets	Information required	Information required	Document and protect proprietary methods.

15 Operational Controls & Technology / Data Governance

The controls that make delivery resilient and the technology and data foundations investors scrutinise.

Operational controls

Core processes and performance controls are not consistently documented. HIGH RISK

EVIDENCE REVIEWED	CRAT responses on operations and quality control.
MISSING EVIDENCE	SOP handbook, organisation chart, KPI dashboard, quality-control records.
RECOMMENDED ACTION	Document critical processes, publish an org chart and stand up a KPI dashboard reviewed monthly.

Technology & data governance

Technology architecture and data-governance controls require verification. HIGH RISK

EVIDENCE REVIEWED	CRAT responses on data management and systems.
MISSING EVIDENCE	System architecture diagram, access-control policy, backup & disaster-recovery plan, incident-response plan, data-processing register.
RECOMMENDED ACTION	Document architecture; enforce role-based access, encrypted backups, tested DR and an incident-response procedure aligned to PDPA and the Cybercrimes Act.

16 Recommendations

Targeted capacity interventions to close the gap in each domain.

Commercial / Market

72%

- Document the end-to-end sales process with defined stages, owners and conversion metrics, and review it monthly.
- Maintain a living market-positioning and competitor-intelligence brief that informs pricing and messaging.
- Adopt CRM-based pipeline tracking with explicit customer acquisition and retention KPIs.

Financial Management

80%

- Implement accounting software and produce disciplined monthly management accounts.
- Build and maintain a rolling 12-month cash-flow forecast tied to the operating plan.
- Prepare investor-grade financial statements and arrange an independent review or audit.

Operations

13%

- Document core processes and standard operating procedures for all critical functions.
- Reduce key-person dependency through delegation, cross-training and succession planning.
- Define operational KPIs and link them to a regular performance-management routine.

16 Recommendations (continued)

Legal & Compliance

17%

- Review and consolidate licences, permits and key contracts into a diligence-ready pack.
- Close outstanding compliance gaps and formalise governance and oversight structures.
- Register intellectual property and document board composition and decision rights.

17 Improvement Roadmap (6 / 12 / 18 months)

Sequenced interventions with owners, deadlines, expected outputs and readiness-score targets.

Phase 1 — 0 to 6 months (stabilise)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Adopt accounting software & monthly management accounts	Finance Lead	Month 3	Monthly management accounts	Financial 80 88
Consolidate licences, permits & key contracts	Legal / Compliance	Month 4	Legal register	Legal 17 40
Document core processes & SOPs	Ops Lead	Month 5	SOP handbook	Operations 13 35
Stand up AML/KYC & data-protection policies	Legal / Compliance	Month 6	Approved policies + PDPA filing	Legal 40 50
Populate the investor data room	CEO	Month 6	Virtual data room	Overall 46 58

Phase 2 — 6 to 12 months (build controls)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Rolling 12-month cash-flow forecast	Finance Lead	Month 9	Board-reviewed model	Financial 88 92
Deploy CRM & pipeline tracking with KPIs	Commercial Lead	Month 9	CRM + weekly pipeline reporting	Commercial 72 82
KPI / performance-management routine	Ops Lead	Month 10	Operational KPI dashboard	Operations 35 55
Progress BOT / e-money licensing pathway	Legal / Compliance	Month 12	Application submitted / held	Legal 50 65
Reduce key-person dependency	CEO / Ops Lead	Month 12	Delegation & succession plan	Overall 58 70

Phase 3 — 12 to 18 months (investor-ready)

INTERVENTION	OWNER	DEADLINE	EXPECTED OUTPUT	SCORE TARGET
Prepare audited financial statements	Finance Lead + Auditor	Month 15	Audited accounts	Financial 92 95
Formalise governance & board oversight	CEO / Board	Month 15	Board charter & minutes	Legal 65 78
Register IP (trademark, code assignment)	Legal / Compliance	Month 16	IP certificates	Legal 78 85
Strengthen cybersecurity & DR controls	CTO	Month 17	Security policy, backups, IR plan	Operations 55 68
Re-run CRAT & prepare for diligence	CEO	Month 18	Updated report ≥ 80%	Overall 70 82

18 Prioritisation

Quick wins are high-impact actions requiring fewer resources — sequence them first. Bold plays require more effort but deliver greater readiness gains, sequenced across the 3–18 month programme.

QUICK WINS

High impact · fewer resources · sequence first

1. Formalise financial records
2. Confirm licences & permits
3. Document core processes

BOLD PLAYS

Greater effort · greater readiness gains

4. Implement CRM pipeline tracking
5. Build a rolling cash-flow forecast
6. Prepare audited financials
7. Establish a governance structure
8. Register intellectual-property assets

SEQUENCING

Sequencing follows impact and investor relevance: stabilise the highest-risk domains first with the quick wins, then build the durable controls — CRM, audited financials, governance and IP — that carry the business past the 70% readiness threshold.

19 Investor Data Room Checklist

The documents required to move findings from “information required” to verified, and to support due diligence.

CATEGORY	ITEM	STATUS
Corporate	Certificate of incorporation & statutory returns	To provide
Corporate	Shareholders' agreement & share register	To provide
Corporate	Capitalisation table	To provide
Corporate	Board minutes & resolutions	To provide
Financial	12-month management accounts	To provide
Financial	Audited / independently reviewed financials	To provide
Financial	Rolling cash-flow forecast model	To provide
Financial	Bank statements (12 months)	To provide
Financial	Tax filings & TIN (TRA)	To provide
Commercial	Sales pipeline & customer contracts	To provide
Commercial	Pricing schedule	To provide
Commercial	Traction & cohort metrics	To provide
Legal	Licences & permits	To provide
Legal	BOT / e-money authorisation	To provide
Legal	AML/KYC policy & procedures	To provide
Legal	PDPA registration & data-protection policy	To provide
Legal	Key contracts & litigation summary	To provide
IP	Trademark, domain & source-code IP assignment	To provide
Team	Org chart, key CVs, employment contracts, ESOP	To provide
Technology	Architecture, security policy, backup/DR, incident-response plan	To provide

20 Executive Conclusion

The investment committee's readiness verdict and recommended next step.

READINESS VERDICT

Loco Financial Technologies — 46% (Progressing): best matched to grant and milestone-based catalytic funding with technical assistance; it is not yet ready for commercial debt or equity.

On the evidence available, Loco Financial Technologies is not yet ready for commercial debt or equity. The recommended path is grant and milestone-based catalytic funding with technical assistance, releasing capital against the readiness milestones in Section 17.

Conditions precedent

- Populate the investor data room (Section 19) to convert “information required” findings to verified.
- Close the high-risk legal, AML/KYC and data-protection gaps in Sections 09 and 10.
- Establish investor-grade financial reporting and a rolling cash-flow forecast.
- Formalise governance, reduce key-person dependency and document core processes.

Subject to these conditions and the roadmap in Section 17, the company is expected to reach the 70% investment-readiness threshold within 12–18 months, at which point debt or equity should be reconsidered.